

No forfeiture where they are in his possession according to the title.—It has been decided under the corresponding clause in the previous Bankruptcy Acts, that the enactment does not apply where the possession of the goods by the bankrupt can be satisfactorily accounted for by the circumstances of the title, as, if a trustee be in possession of effects upon trust for payment of debts, and become bankrupt (*h*), or if goods be vested in A. upon trust to permit B. to have the enjoyment during his life, and B. becomes bankrupt while in possession under his equitable title (*i*); or if A. for valuable consideration assign his goods to a trustee for A.'s wife for her separate use, and the goods are in the house occupied by A. and his wife at the date of his bankruptcy (*j*). So property which belongs to a married woman for her separate use, but as to which the husband, by reason of there being no other trustee, is a trustee for the wife, is not affected by the enactment.¹ But if a residue be given to trustees upon trust to *sell* with all convenient speed, and to invest the proceeds in the purchase of an annuity for the lives of A. (one of the trustees) and her children, the amount to be paid to A. for the benefit of the children, and if instead of selling the trustees *permit A. to retain [*244] possession for a length of time, the goods are forfeited, such possession being contrary to the title (*a*).

14. Executors and administrators.—The enactment does not extend to a lawful and necessary possession *en autor droit*, as that by executors and administrators (*b*); but there will be no exemption from the forfeiture if the executor can be proved to have dismissed the character of per-

(*h*) *Copeman v. Gallant*, 1 P. W. 314; and see under the Bankruptcy Act, 1869, *Ex parte Barry*, 17 L. R. Eq. 113.

(*i*) *Ex parte Martin*, 19 Ves. 491; S. C. 2 Rose, 331; see *Ex parte Harwood*, 1 Mont. & Mac. 169; Mont. 24; *Jarman v. Woolloton*, 3 T. R. 618; *Ex parte Massey*, 2 Mont. and Ayr. 173; *Ex parte Elliston*, 2 Mont. and

Ayr. 365; *Ex parte Geaves*, 8 De G. M. & G. 291; 2 Jur. N. S. 651; *Re Bankhead's Trust*, 2 K. & J. 560.

(*j*) *Ex parte Cox*, 1 Ch. D. 302.

(*a*) *Ex parte Moore*, 2 Mont. D. and De G. 616; and see *Fox v. Fisher*, 3 B. & Ald. 135; *Ex parte Thomas*, 3 Mont. D. & De G. 40.

(*b*) *Ex parte Marsh*, 1 Atk. 158; *Joy v. Campbell*, 1 Sch. & Lef. 328.

¹ *Ex parte Sibeth*, 14 Q. B. D. 417.